



MEMORANDUM

CN - No. 2026-0033

THE PHILIPPINE STOCK EXCHANGE, INC.

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|-------------------------------------|---|
| ☐ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☒ Others: Proposed Rule Amendments |

TO : THE INVESTING PUBLIC AND MARKET PARTICIPANTS

SUBJECT : SECOND EXPOSURE DRAFT OF 2026 PROPOSED REVISIONS TO THE AMENDED RULE ON MINIMUM PUBLIC OWNERSHIP

DATE : July 16, 2026

The Exchange is inviting all interested parties to submit their comments on the additional proposed revisions to the Amended Rule on Minimum Public Ownership, as discussed in the attached Consultation Paper.

Comments may be sent to the Office of the General Counsel at ogc_list@pse.com.ph until July 21, 2026.

For your information and guidance.

(Original signed)
Ramon S. Monzon
President and CEO

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The Philippine Stock Exchange, Inc.

Consultation Paper

SECOND EXPOSURE DRAFT OF 2026 PROPOSED REVISIONS TO THE AMENDED RULE ON MINIMUM PUBLIC OWNERSHIP

Disclaimer: This Consultation Paper is disseminated for the purpose of soliciting comments from the concerned stakeholders. The final version of the Rules may differ from the draft rules contained in this Consultation Paper.

I. Consultation Process

This Consultation Paper is circulated to give concerned stakeholders an opportunity to submit comments on the additional proposed revisions to the Amended Rule on Minimum Public Ownership (“Amended MPO Rule”).

Interested parties may submit their comments and requests for clarifications by e-mail to ogc_list@pse.com.ph until **July 21, 2026**.

II. Background

On May 13, 2026, the Exchange published on its website a consultation paper on the proposed revisions to the Amended MPO Rule to comply with Securities and Exchange Commission (“SEC”) Memorandum Circular No. 11, series of 2026 on Minimum Public Ownership Rules for Issuers of Shares of Stock to be Listed on an Exchange.

Thereafter, on May 25, 2026, the Exchange submitted the proposed revisions, together with public comments, to the SEC for approval.

On July 14, 2026, the Exchange received a letter from SEC informing the Exchange of the approval of the proposed revisions, subject to the (i) incorporation of certain revisions (as discussed below) and (ii) publication for comments of the further revised Amended MPO Rule, incorporating the SEC-proposed revisions.

As the SEC has already approved the amendments from the first consultation, this comment period is strictly limited to the new amendments set out below.

III. Proposed Additional Revisions

1. Section 2(c)i

The SEC proposes to clarify that an issuer which is allowed to have a minimum initial public ownership percentage lower than the minimum percentages under Section 2(a) of the Amended MPO Rule is required to maintain a public ownership level at or above the approved minimum initial public ownership percentage, *viz*:

Section 2. Minimum Public Ownership Requirement

...

- (c) Subject to prior or subsequent approval of the Commission, as may be required, the Exchange may, in the exercise of its regulatory discretion, allow an issuer to comply with a lower minimum public ownership

requirement than that prescribed above, provided that the Exchange determines, based on the totality of circumstances and supported by clear, objective, and verifiable evidence, that the grant of such relief is consistent with investor protection, market liquidity, and the public interest.

i. *Eligible Companies*

An issuer with exceptionally large expected market capitalization at the time of listing of not less than PhP 200 billion may be considered eligible for the grant of a lower MPO requirement, which in no case shall be lower than twelve percent (12%), **PROVIDED, THAT THE APPLICABLE MINIMUM MAINTAINING PUBLIC OWNERSHIP SHALL IN NO CASE BE LOWER THAN THE APPROVED MINIMUM INITIAL PUBLIC OWNERSHIP PERCENTAGE.**

2. Section 6(d)

The revised clause maintains the disqualification penalty for directors and principal officers of a company automatically or voluntarily delisted by reason of breach of MPO requirement. However, it also allows a director or principal officer to avoid disqualification by proving that he or she took reasonable measures to ensure the company's compliance with the applicable MPO requirement, to wit:

Section 6. Sanctions for Non-Compliance

...

- (d) ~~Where a petition for voluntary delisting is approved, the five (5) year relisting prohibition and the disqualification of directors and officers under the Involuntary Delisting Rules shall not apply.~~

Where a listed company is automatically delisted pursuant to paragraph (b) hereof, the procedure for delisting under the Involuntary Delisting Rules shall not apply; however, the five (5) year relisting prohibition ~~and the disqualification of directors and officers~~ shall apply. **FURTHER, DIRECTORS AND PRINCIPAL OFFICERS OF SUCH COMPANY ARE DISQUALIFIED FROM BECOMING DIRECTORS OR PRINCIPAL OFFICERS OF ANY COMPANY APPLYING FOR LISTING (WHETHER FOR INITIAL OR ADDITIONAL LISTING) WITHIN THE SAME PERIOD, RECKONED FROM THE TIME OF DELISTING, UNLESS SUCH DIRECTOR OR PRINCIPAL OFFICER IS ABLE TO DEMONSTRATE, TO THE SATISFACTION OF THE EXCHANGE, THAT HE OR SHE UNDERTOOK REASONABLE MEASURES AND**

**EXERCISED DUE DILIGENCE TO ENSURE THE COMPANY'S
COMPLIANCE WITH THE APPLICABLE MPO REQUIREMENT.**

**WHERE A PETITION FOR VOLUNTARY DELISTING BY REASON OF
BREACH OF MPO PERCENTAGE IS APPROVED, THE FIVE (5) YEAR
RELISTING PROHIBITION AND THE ABOVE-DESCRIBED RULE
ON DISQUALIFICATION OF DIRECTORS AND OFFICERS SHALL
ALSO APPLY.**

The proposed further revised Amended MPO Rule, incorporating the abovementioned proposed revisions, is attached as **Annex "A."**

ANNEX "A"

AMENDED RULE ON MINIMUM PUBLIC OWNERSHIP

Section 1. Authority and Policy Basis

This Rule is issued pursuant to Securities and Exchange Commission ("SEC" or the "Commission") Memorandum Circular No. 11, Series of 2026, which prescribes new minimum public ownership ("MPO") requirements for listed companies and authorizes the Exchange, subject to criteria and safeguards approved by the Commission, to endorse a lower MPO requirement for issuers with exceptionally large expected market capitalization upon such terms and conditions as may be necessary or appropriate for the protection of investors, the maintenance of a fair, orderly, and efficient market, and the promotion of the public interest.

Section 2. Minimum Public Ownership Requirement

- (a) A company applying for initial listing through an initial public offering is required to have a minimum initial public ownership, as follows:

COMPANY	MINIMUM INITIAL PUBLIC OWNERSHIP	
Listed prior to the effectivity of SEC Memorandum Circular No. 13, Series of 2017	10%	
Listed after the effectivity of SEC Memorandum Circular No. 13, Series of 2017	20%	
Listed after the effectivity of SEC Memorandum Circular No. 11, Series of 2026	<i>Expected Market Capitalization at the time of Listing</i>	<i>Minimum Initial Public Ownership</i>
	Not exceeding PhP 500 million	33%
	Over PhP 500 million but not exceeding PhP 1 billion	25% (subject to a minimum offer size of PhP 165 million)
	Over PhP 1 billion but not exceeding PhP 50 billion	20% (subject to a minimum offer size of PhP 250 million)
	Over PhP 50 billion	15% (subject to a minimum offer size of PhP 10 billion)

COMPANY	MINIMUM INITIAL PUBLIC OWNERSHIP
Real Estate Investment Trust	33.33%

- (b) Listed companies shall, at all times, maintain the prescribed minimum percentage of listed securities held by the public, as follows, calculated based on issued and outstanding common shares:

COMPANY	MINIMUM MAINTAINING PUBLIC OWNERSHIP	
Listed prior to the effectivity of SEC Memorandum Circular No. 13, Series of 2017	10%	
Listed after the effectivity of SEC Memorandum Circular No. 13, Series of 2017	20%	
Listed after the effectivity of SEC Memorandum Circular No. 11, Series of 2026	<i>Market Capitalization at the time of Listing</i>	<i>Minimum Maintaining Public Ownership</i>
	Not exceeding PhP 50 billion	20%
	Over PhP 50 billion	15%
Real Estate Investment Trust	33.33%	

For avoidance of doubt, preferred shares and treasury shares shall be excluded from the computation of the minimum public percentage.

The Exchange may increase, decrease, suspend, or remove the minimum percentage only with prior approval from the Commission.

- (c) Subject to prior or subsequent approval of the Commission, as may be required, the Exchange may, in the exercise of its regulatory discretion, allow an issuer to comply with a lower minimum public ownership requirement than that prescribed above, provided that the Exchange determines, based on the totality of circumstances and supported by clear, objective, and verifiable evidence, that the grant of such relief is consistent with investor protection, market liquidity, and the public interest.

i. *Eligible Companies*

An issuer with exceptionally large expected market capitalization at the time of listing of not less than PhP 200 billion may be considered eligible for the grant of a lower MPO requirement, which in no case shall be lower than twelve percent (12%), **PROVIDED, THAT THE APPLICABLE MINIMUM MAINTAINING PUBLIC OWNERSHIP SHALL IN NO CASE BE LOWER THAN THE APPROVED MINIMUM INITIAL PUBLIC OWNERSHIP PERCENTAGE.**

ii. *Eligibility Criteria*

An issuer that complies with the immediately preceding criterion shall be considered eligible for the grant of a lower MPO requirement only if it complies with all of the following criteria:

- 1) The issuer is able to establish, to the satisfaction of the Exchange, based on objective and verifiable market data, that a lower MPO requirement at the time of listing would reasonably be expected to promote a more orderly, effective, and equitable distribution of shares to the investing public, which, in turn, may contribute to improved pricing efficiency and liquidity of the shares:
- 2) The issuer has demonstrated full compliance with applicable registration and disclosure requirements under the SRC and its implementing rules and regulations, as well as the Exchange's rules, and has undertaken to provide enhanced, timely, and continuing disclosures, as may be required by the Exchange, to ensure that investors are fully informed of the implications of a reduced public float, including any attendant liquidity, trading, or ownership concentration risks; and
- 3) The issuer has put in place, or has committed to implement, adequate safeguards acceptable to the Exchange to mitigate risks associated with a reduced public float, including measures to promote liquidity support and timely compliance with applicable disclosure and continuing listing obligations.

Section 3. Guidelines in Determining the Public Ownership of Listed Companies

Public ownership shall be determined in accordance with the Amended Guidelines in Determining the Public Ownership of Listed Companies.

Section 4. Disclosure and Continuing Compliance Requirements

- (a) A listed company shall immediately disclose to the Exchange, in accordance with Section 4.1, Article VII of the Consolidated Listing and Disclosure Rules, as amended, once the number of its listed securities held by the public falls below the prescribed MPO percentage.

For this purpose, all listed companies shall establish and maintain effective internal procedures for monitoring compliance with the MPO requirement, which shall include, at a minimum, the computation of public float on a monthly basis.

- (b) Upon falling below the prescribed MPO percentage, the listed company shall promptly take corrective measures to restore compliance at the earliest possible time and within a maximum period of six (6) months from date of such fall. The listed company shall submit to the Exchange, no later than ten (10) days from the date of the breach of the MPO requirement, a Compliance Plan or a time bound business plan describing the steps that the company will take to bring its public float to the required level within a maximum period of six (6) months from date of such breach.
- (c) A listed company shall include in its annual report a statement of its public float level as of the end of the fiscal year or, where applicable, as of the latest practicable date prior to the issuance of the annual report.
- (d) Listed companies shall submit to the Exchange a Public Ownership Report ("POR") within fifteen (15) calendar days after the end of each quarter.
- (e) In the event that a listed company's minimum public ownership is reduced below the prescribed minimum percentage as a result of any transaction, including but not limited to the issuance of new shares or transfer of shares from public to non-public shareholders, the listed company shall, immediately upon execution of such transaction, submit to the Exchange an interim POR reflecting the percentage of its public ownership post-transaction.
- (f) Listed companies shall ensure that all PORs contain full, fair, timely, and accurate information in accordance with Section 1, Article VII of the Consolidated Listing and Disclosure Rules. A POR that does not comply with the foregoing requirements shall be deemed in violation of the reportorial requirements under this Rule.
- (g) Any and all reports required to be filed by a listed company with the Commission under SEC Memorandum Circular No. 11, Series of 2026 shall likewise be filed with the Exchange. The Exchange shall adopt the Commission's reportorial requirements and submission timelines, unless otherwise provided by the Exchange.

Section 5. Companies Listing by Way of Introduction and Backdoor Listings

Upon and after listing, all listed companies, including those listed by way of introduction and those admitted through backdoor listings, shall be subject to the maintenance, disclosure, reporting, monitoring, and enforcement provisions of these Rules.

For the avoidance of doubt:

- (a) Companies listing by way of introduction shall be required to meet and maintain the MPO requirement prescribed under Section 2(b) hereof: Provided, That, the issuer shall be able to demonstrate compliance with the applicable MPO requirement at the time of filing of the listing application and shall maintain such compliance upon listing and thereafter, subject to the continuing compliance obligations under these Rules.
- (b) In the case of companies admitted through a backdoor listing, compliance with the MPO requirement prescribed under Section 2(b) hereof shall be required immediately upon completion of the backdoor transaction and such companies shall thereafter be subject to the continuing disclosure, reporting, monitoring, and enforcement provisions of these Rules.

Section 6. Sanctions for Non-Compliance

- (a) Any violation of the reportorial requirements under this Rule shall warrant the imposition of the applicable penalties under Section 1, Article VIII of the Consolidated Listing and Disclosure Rules.
- (b) A listed company that becomes non-compliant with the MPO requirement under these Rules shall be immediately suspended from trading for a period of not more than six (6) months from the date of breach, during which period it may take steps to restore compliance with the MPO requirement or file a petition for voluntary delisting pursuant to the Amended Voluntary Delisting Rules.

A listed company that remains non-compliant upon the lapse of the suspension period shall be automatically delisted.

For the avoidance of doubt, the submission of a Compliance Plan or the pendency of corrective measures shall not suspend or defer the imposition of trading suspension under this paragraph.

- (c) Where a listed company has timely filed a petition for voluntary delisting prior to the lapse of the suspension period, but such petition has not yet been approved due to justifiable reasons beyond the control of the company, the Exchange may, in the exercise of its discretion, defer the imposition of automatic delisting.

- (d) ~~Where a petition for voluntary delisting is approved, the five (5) year relisting prohibition and the disqualification of directors and officers under the Involuntary Delisting Rules shall not apply.~~

Where a listed company is automatically delisted pursuant to paragraph (b) hereof, the procedure for delisting under the Involuntary Delisting Rules shall not apply; however, the five (5) year relisting prohibition ~~and the disqualification of directors and officers~~ shall apply. **FURTHER, DIRECTORS AND PRINCIPAL OFFICERS OF SUCH COMPANY ARE DISQUALIFIED FROM BECOMING DIRECTORS OR PRINCIPAL OFFICERS OF ANY COMPANY APPLYING FOR LISTING (WHETHER FOR INITIAL OR ADDITIONAL LISTING) WITHIN THE SAME PERIOD, RECKONED FROM THE TIME OF DELISTING, UNLESS SUCH DIRECTOR OR PRINCIPAL OFFICER IS ABLE TO DEMONSTRATE, TO THE SATISFACTION OF THE EXCHANGE, THAT HE OR SHE UNDERTOOK REASONABLE MEASURES AND EXERCISED DUE DILIGENCE TO ENSURE THE COMPANY'S COMPLIANCE WITH THE APPLICABLE MPO REQUIREMENT.**

WHERE A PETITION FOR VOLUNTARY DELISTING BY REASON OF BREACH OF MPO PERCENTAGE IS APPROVED, THE FIVE (5) YEAR RELISTING PROHIBITION AND THE ABOVE-DESCRIBED RULE ON DISQUALIFICATION OF DIRECTORS AND OFFICERS SHALL ALSO APPLY.

Section 7. Transitory and Grace Period Provisions

- (a) Listed companies that, as of the effectivity date of this Rule, are already subject to monitoring, reporting, or corrective actions arising from non-compliance with the MPO requirement shall continue to be governed by the applicable rules, undertakings, and regulatory actions in force at the time of such non-compliance: Provided, That, the disclosure, reporting, and compliance requirements under this Rule shall apply prospectively from its effectivity date, without prejudice to the Exchange's continuing regulatory authority.
- (b) Any pending submissions, reports, or compliance plans required to be filed with the Exchange prior to the effectivity of this Rule shall be deemed compliant if filed within the timelines and in accordance with the requirements prescribed under the rules then in force, unless otherwise directed by the Exchange.
- (c) Nothing in this Rule shall be construed to impair, diminish, or affect any regulatory action, sanction, suspension, or delisting process initiated by the Exchange prior to its effectivity.

Section 8. Repealing Clause

Any other existing Exchange rule or any part thereof inconsistent or in conflict with this Rule is hereby repealed or modified accordingly.

Section 9. Effectivity

This Rule shall take effect upon approval by the Securities and Exchange Commission and after publication by the Exchange in its official website.